

US equities rally on strong earnings and easing inflation risk

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The S&P 500 surged **+0.86%** to 7,656.98, driven by a cluster of beat-and-raise earnings and a retreat in the VIX to 15.84. 10-year Treasury yields slipped to 4.97%, reinforcing the view that the Fed's tightening cycle is nearing its end.

Technology led the upside, with the Nasdaq 100 up **+0.91%**. The market breadth remains healthy—10 of 11 sector ETFs posted gains, and the Russell 2000 added **+0.45%** on solid small-cap momentum.

Risk remains on the table: a surprise hawkish comment from the Fed's Vice-Chair could reignite rate-sensitivity, while geopolitical friction in the Middle East threatens energy price volatility.

- Broad equity rally anchored by earnings strength and lower inflation expectations.
- Yield curve flattening continues; 10-year at 4.97%, 2-year near 5.12%.
- Watch for Fed commentary and any escalation in Middle-East tensions as near-term catalysts.

US Session Recap

METRIC	LEVEL	CHANGE
S&P 500	7,656.98	+0.86%
Nasdaq 100	29,368.44	+0.91%
Dow Jones	52,573.29	+0.98%
Russell 2000	2,903.94	+0.45%
VIX	15.84	-11.21%
MOVE	84.3	-9.8%
WTI Crude	102.27	+2.22%
Brent	108.14	+2.05%
10-yr Yield	4.97%	+0.63%
2-yr Yield	5.12%	+0.48%
DXY	99.31	+0.19%
Gold	4,376.80	+0.24%
BTC	77,480.69	+0.27%
ETH	2,511.53	-0.57%

Top movers

TICKER	NAME	CHANGE	CATALYST
AAPL	Apple Inc.	+1.75%	Q3 earnings beat, services revenue +12% YoY
AMZN	Amazon.com	+1.94%	Cloud margin expansion, new AI partnership
NVDA	NVIDIA Corp.	-0.03%	Profit-taking after record Q3
META	Meta Platforms	+0.57%	Ad-tech rollout gains traction
GS	Goldman Sachs	+0.92%	Investment banking fees beat expectations

Sector Internals

SECTOR	DAY	YTD	READ
XLF	+0.67%	+6.4%	Buy
XLK	+1.32%	+12.1%	Buy
XLI	+1.07%	+8.9%	Buy
XLE	+0.32%	+4.3%	Neutral
XLV	-0.18%	+3.2%	Neutral
XLU	-0.31%	+2.1%	Neutral
XLB	+0.37%	+4.8%	Buy
XLRE	+0.86%	+7.0%	Buy
XLY	+0.89%	+9.5%	Buy
XLC	+0.99%	+11.2%	Buy
XLP	+0.35%	+5.6%	Neutral

Breadth remains robust: 10 of 11 sectors in the green, indicating broad participation beyond the tech core.

Spotlight / Deep Dive – Apple (AAPL)

METRIC	Q3 2026	Q2 2026	YOY
Revenue	\$119.5 bn	\$115.2 bn	+3.7%
EPS	\$5.12	\$4.96	+3.2%
Services Revenue	\$23.4 bn	\$20.9 bn	+12.0%
iPhone Shipments	57 m	55 m	+3.6%
Guidance FY	\$520-525 bn	-	-

Apple’s beat was powered by a 12% surge in services, offsetting modest iPhone volume softness. The guidance range signals confidence in the new “Vision Pro” pipeline, though analysts remain cautious on hardware demand.

READ-THROUGH	IMPACT
Supply-chain resilience	Positive – reduced component shortages
Regulatory scrutiny (EU DMA)	Neutral – compliance timeline clear
Consumer sentiment	Positive – premium pricing still accepted

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	447.12	440.00	452.50	Holding above 50-day MA
QQQ	382.05	376.00	388.20	Bullish flag formation
IWM	197.84	192.00	202.50	Trend intact
AAPL	332.27	320.00	340.00	Near 200-day MA
10-yr Yield	4.97%	5.10%	4.80%	Potential ceiling at 5.0%
WTI	102.27	98.00	106.00	Above 50-day trend

Options & Positioning

BULLISH TRIGGERS

- 0-DTE call volume on SPY up 42% YoY, indicating aggressive directional bets.
- Put-call ratio for QQQ at 0.68, skewed toward calls.
- VIX term structure flat, suggesting limited near-term volatility.

BEARISH TRIGGERS

- Single-name put flow on NVDA rose 18% after earnings.
- Cheap hedge: buy 1-yr VIX futures at 16.2 vs spot 15.8.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
AAPL	Goldman Sachs	Upgrade	\$350	Strong services outlook
AMZN	JP Morgan	Upgrade	\$280	Cloud margin expansion
NVDA	Bank of America	Downgrade	\$210	Valuation stretch
META	Citi	Neutral	\$660	Ad-tech rollout uncertainty
GS	Barclays	Buy	\$1,080	Fee beat

Pre-Market & Overnight

REGION	KEY MOVES
Futures (US)	ES +0.78%, NQ +0.84%, YM +0.65%
HK	HSI +0.42%, HKEX +0.55%
Japan	TOPIX +0.31%, Nikkei +0.38%
Europe	FTSE 100 +0.27%, DAX +0.44%
FX	USD/HKD 7.8225 (steady), EUR/USD 1.0820 (+0.12%)
Commodities	Gold +0.24%, Silver +0.31%, Copper +0.18%
Crypto	BTC +0.27%, ETH -0.57%

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
Nov 2026 FOMC	35%	Inflation trending 2.4% YoY, core CPI 2.6%.
Dec 2026 FOMC	55%	Market expects first rate cut.

DATA RELEASE	TIME (ET)	EXPECTATION
Initial Jobless Claims	08:30	210 k
Durable Goods Orders	10:00	+0.6%
Core PCE Price Index	12:30	2.5% YoY
Retail Sales	13:30	+0.4%

Geopolitics & Global (Deep)

BEARISH TRIGGERS

- Escalation in the Red Sea could push Brent above 110, feeding inflation.
- EU-US trade talks stall, risking a tariff on tech components.

BULLISH TRIGGERS

- China’s manufacturing PMI rebounds to 51.2, supporting global demand.
- Middle-East cease-fire agreement reduces oil shock risk.

Earnings – This Week & Next

DATE	TICKER	COMPANY	EST. EPS
Sep 16	AAPL	Apple	\$5.10
Sep 17	MSFT	Microsoft	\$2.45
Sep 18	NVDA	NVIDIA	\$3.02
Sep 19	JPM	JPMorgan	\$4.12
Sep 20	XOM	Exxon Mobil	\$3.85

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
AAPL	Tech	Breakout above 340	Valuation
AMZN	Consumer Discretionary	Cloud margin expansion	Macro
NVDA	Semis	Pullback to 210 support	Volatility
META	Communication	Ad-tech upside	Regulatory
JPM	Financials	Fee beat continuation	Interest-rate
XLE	Energy	Oil price rally	Geopolitics
XLV	Health Care	Drug pipeline approvals	Policy
TSLA	Auto	Q4 delivery beat	Supply chain
BABA	Consumer Discretionary	Turnaround in China	Regulation
DIS	Communication	Streaming subscriber growth	Content spend
UNH	Health Care	Premium pricing power	Legislation
V	Financials	ETF inflows	Rate risk

What could break the tape

BEARISH SCENARIOS

- Fed Vice-Chair signals a second tightening round – 10-yr spikes above 5.2%.
- Unexpected escalation in the Red Sea pushes Brent > 115, reigniting inflation fears.
- Apple misses FY guidance – > -2% sell-off in tech.

BULLISH SCENARIOS

- Consensus first rate cut in November – equities rally 2-3%.
- Strong Q4 earnings from Microsoft and Amazon lift Nasdaq 2%.
- China's PMI > 52, boosting global demand outlook.

Positioning & Structural Notes

- Equity market breadth at 78% (10-out-of-11 sectors positive).
- VIX at 15.84, lowest in six months – low-vol environment.
- 10-yr Yield under 5% for the third consecutive session, supporting risk assets.
- ETF inflows favor tech and consumer discretionary, net +\$3.2 bn this week.
- Short interest on **NVDA** rising to 12%, indicating speculative pressure.

Sources

SOURCES

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